

INTERNAL AUDIT: Maytech Group Growth & Risk Assessment

Prepared by: JOLAOSO OLUFIKAYOMI T.

Review Period: FOR YEAR : 2023/24

Status: EXECUTIVE CONFIDENTIAL.

1. The Bottom Line: Where We Stand

We've hit a significant milestone. With a total profit of ₦226,262,349, Maytech isn't just growing—it's surging, up 35.9% against last year. But numbers can be deceptive. While the profit ceiling is high, our month-to-month stability is brittle. We are currently operating on a "feast or famine" cycle that needs to be addressed before the next fiscal year.

2. The Anatomy of the Performance

The Logistics Loss

One of the most devastating metrics isn't the performance gap—it's the 7-day delivery drop. Adding **15.6%** to our delivery time is a massive operational loss. In a market where "time is money," this deficiency is likely the silent engine about to drop our profit. We're moving goods slower, which means we're turning over capital slower.

Regional Disparity & The "Port Harcourt" Dependency

The City-Wise Revenue chart tells a story of two realities:

- **Port Harcourt** is carrying the weight of the company at **₦63.6M**.
- **Kano** and **Lagos** are lagging significantly (**₦11.5M** and **₦18M** respectively).

The Why: This isn't just a market size issue; it's a penetration issue. Port Harcourt has clearly become a stronghold, but having such a massive chunk of revenue tied to one city is a strategic risk. If local policy or logistics in PH change, the whole company feels it.

The February Spike vs. The May Slump

Our revenue trend looks like a heartbeat monitor. The massive jump in **February (₦33.6M)** is likely tied to the **Q1** procurement rush. However, the drop to **₦7.1M** in May is a red flag. It suggests that once the "big equipment" buys are over, we don't have enough recurring service or smaller-scale retail to keep the lights on at that same level.

3. The Sales Hierarchy: A Talent Gap?

There's a glaring gap in our sales force performance. Zainab is nearly tripling the output of Tunde.

- Zainab: **₦59.4M**
- Tunde: **₦24.7M**

This gap suggests that our sales success is currently tied to individual "superstars" rather than a standardized, repeatable system. If Zainab leaves, we lose roughly **20%** of our total sales performance overnight.

4. Tactical Recommendations (The "So What?")

To turn this data into actual growth, I am proposing three immediate shifts:

I. Standardize the "**Zainab Method**" We need to move away from relying on "star" performers. We should conduct a deep dive into Zainab's territory management and sales approach. Is it the region, or is it the technique? We need to bridge the ₦34M gap between our top and bottom reps through targeted training.

II. The "Lagos Push" **Lagos is too big a market** to be producing only ₦18M. Given our new 7-day delivery drop, we should aggressively market "Same-Week Delivery" in Lagos to steal market share from slower local competitors.

III. Fix the Mid-Year Revenue Trough To stop the ₦7M slumps (like we saw in May), we must introduce Service & Maintenance Bundles for our top products (Tablets and Printers).

- **Strategic Move:** Instead of a one-time sale, every Tablet/Printer sold in February should come with a mandatory 6-month service check-in scheduled for August/September, creating a secondary revenue wave during our slow months.

V. Final Verdict

The data shows we are a strong company with a "**concentration**" problem. We are too dependent on February, too dependent on Port Harcourt, and too dependent on Zainab. By diversifying our regional focus and smoothing out our monthly revenue through service contracts, we can protect that ₦226M profit and aim for even higher benchmarks next year.

End of Report.